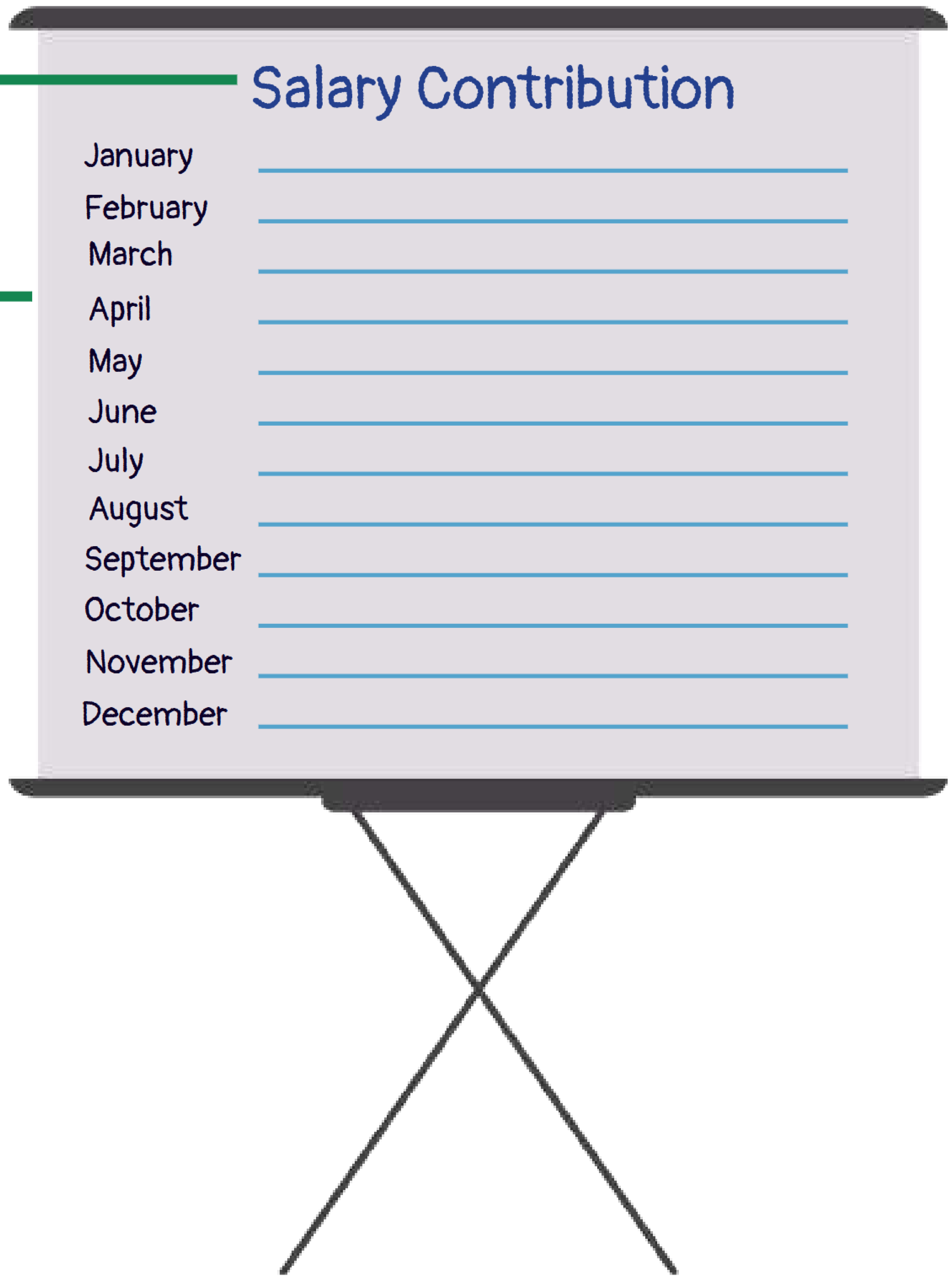
# c. Employee Stock Purchase Plan (ESPP)

An ESPP offers employees the opportunity to purchase stock shares of the organization at a discounted rate, typically 15% lower than the market price.




The employees choose to contribute a specific percentage of their salary for the plan. The contributions are used to purchase stock shares of the organization on behalf of the employees. The ESPPs also have a vesting period.

**You may decide to issue 40,000 shares to an employee, with 10,000 shares being granted each year for four years.**

The vesting period of each grant can be one year. This type of equity program can retain a senior executive for a period of five years.